Farmers tend to switch to the crop that gives them the best assured price. They also tend to invest in land improvement and use of inputs in case they see the benefit in the form of higher realization of price than the cost of inputs. That was the mindset and setting in which India's MSP policy was designed in the middle of the 1960s. The policy worked. Large swathes of land in Punjab, Haryana, Uttar Pradesh and north-western Rajasthan took up cultivation of wheat and rice in the late 1960s and 1970s. The green revolution took flight on the wings of MSPs for wheat and rice.

The success of a policy begets many clones and, often, its perpetuation beyond the rightful date of expiry. The MSP policy was extended to all other crops in the hope that the same magic would be repeated. This was done without applying one's mind to the situation on ground in which other crops are raised and also without ensuring that these crops would be bought by government agencies in sufficient quantities such that their market prices remain anchored at a level higher than MSPs. Most of these programmes flopped on the ground. Crops were not purchased by government agencies and market prices remained lower than MSPs in many cases.

At present, India does not need to support the growth of foodgrains by instituting any MSP. In fact, 'minimum' support prices for foodgrains have degenerated into 'maximum' support prices, making the government the presumptive sole buyer of the crops. Indian MSPs are also higher than international prices, making export impossible without subsidization.

It's time to liberate agriculture from the yoke of MSPs. Let there be a free market for agricultural produce. The fact that there is limited land that can be put to agriculture would make the invisible hand of the free market a better guide for farmers to choose the crop that fetches them the best returns and encourage dynamism among them. The expenditure incurred by the government in providing underlying production subsidies in the MSP system can be provided to farmers as direct income support. These measures will help free farmers from the low-income trap.